



GHTEST STARS

BT-KPMG Quantitative Winners

- **BEST LARGE INDIAN BANK**
HDFC Bank
- **BEST MID-SIZED INDIAN BANK**
Bank of Maharashtra
- **BEST SMALL INDIAN BANK**
Karur Vysya Bank
- **BEST LARGE FOREIGN BANK**
J P Morgan
- **BEST SMALL FINANCE BANK**
Ujjivan Small Finance Bank
- **BEST LARGE NBFC**
Bajaj Finance



disbursing loans to include managing salary accounts on the liabilities side, offering forex and other trade-related fee-based services, and selling retail assets. “Banks are deepening their relationships with existing corporates to cross-sell other banking products, thereby improving overall returns,” says a public sector banker, who declined to be identified. There is also less concern about asset quality in the corporate book. “When the red flag is raised by lenders, promoters take action and try to find a way out of the [Insolvency and] Bankruptcy Code,” says Daizy Chawla, Managing Partner at S&A Law Offices.

Another trend is bond funding, as many infra projects need long-term financing. “We see a growing trend of corporates relying on non-bank sources for funding,” says Vishal Goenka, Co-founder of IndiaBonds.com, a Sebi-registered online bond platform provider.

DEPOSIT GROWTH DILEMMA

Then there are challenges on the liabilities side, with bank deposits—especially low-cost current account and savings account (CASA) deposits—growing at a slower pace than lending. Some banks are enticing customers with higher interest rates on fixed deposits, leading to a decline in the CASA ratio. India Ratings & Research explains this decline as the movement of savings from CASA to better-yielding products. Further, banks are also losing savings accounts to mutual funds and the equity market. Uday Kotak, Founder and Director of Kotak Mahindra Bank, believes that India is transitioning from a nation of savers to investors, posing a long-term challenge for the banking sector, which relies on CASA deposits as its primary funding resource.

A recent Goldman Sachs report warns that the financial sector’s era of strong growth and profitability may be coming to an end due to headwinds such as rising pressure on the cost of funds, concerns about rising consumer leverage—particularly in unsecured lending—and elevated wage inflation impacting operating costs.

COMPETITION FROM NON-BANKS

Competition is increasing in the NBFC space, with the entry of major corporate houses such as Reliance, Piramal, Godrej, and Poonawalla. “There is more than enough room for every player in the market... Any organisation that is agile, pragmatic, and strong on business ethics should be able to manage the impact of competition, regardless of its size,” says Sathe.

NBFCs from corporate houses aim to fill the credit gap in the space. “Entities that are agile and adapt to the fast-changing landscape, and have ample capital and risk-taking ability, may benefit the most,” says Jasani.

While RBI’s recent move imposing higher risk weights for banks funding NBFCs could restrict fund flows to these entities, India Ratings says NBFCs have begun to